

Did the IMF confirm the developers?

Testing a developers' claim about the IMF's view of Malta's housing market against the IMF report and Eurostat

THE CLAIM UNDER REVIEW

“The IMF’s assessment of the Maltese housing market confirms what the Malta Developers Association has been saying for several years.”

Malta Developers Association, release on its website, 8 February 2026.

On the IMF's 2025 Article IV consultation with Malta.

VERDICT: LARGELY SUPPORTED

Sound on valuation; the IMF's warnings on bank exposure are omitted

TL;DR

In February 2026 the Malta Developers Association (MDA) welcomed the IMF’s annual assessment of Malta, saying: **“The IMF’s assessment of the Maltese housing market confirms what the Malta Developers Association has been saying for several years.”** MaltaToday summarised the statement as the IMF confirming the “strength and stability” of the property sector. We read the IMF report and the MDA’s release in full and tested the IMF’s housing findings against Eurostat data.

- 1

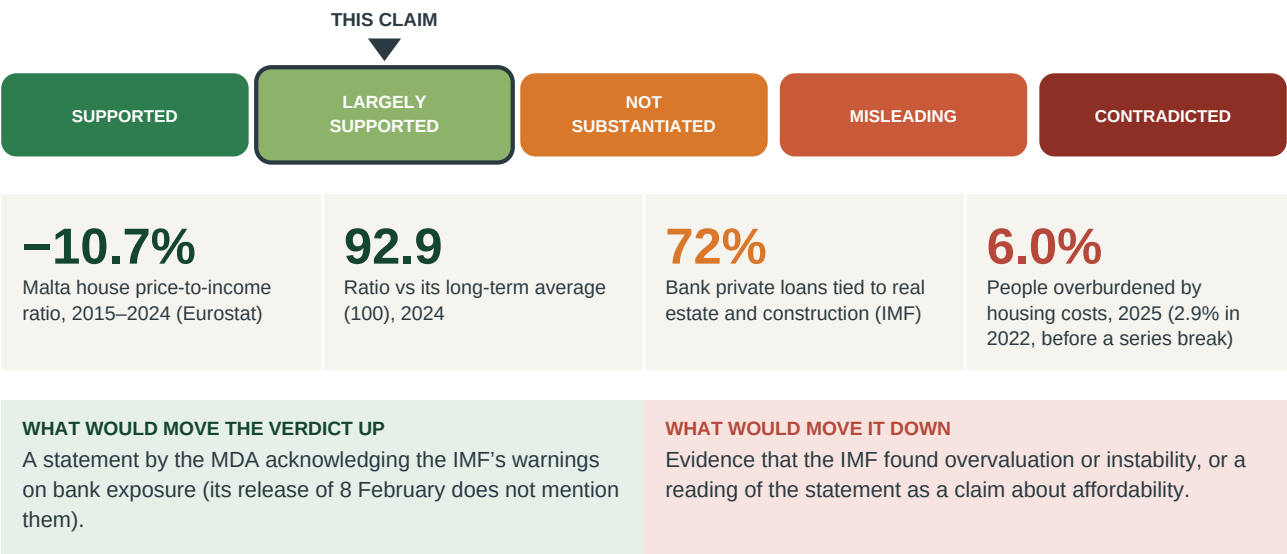
The IMF does say the market is sound. House prices “remained aligned with fundamentals”, price-to-income and price-to-rent ratios “have been stable”, and the likelihood of a weakening is “currently low”.
- 2

Independent data agree. Eurostat’s standardised price-to-income ratio for Malta fell 10.7% between 2015 and 2024 and stands below its long-term average (92.9, EU 98.9); incomes grew faster than house prices.
- 3

The IMF also flagged risks the statement leaves out. Banks’ exposure to real estate (72% of private loans, up from 61%) is called “a vulnerability”; the IMF Board urged vigilance and staff asked for closer monitoring “in view of rapid house price growth”.
- 4

Stability is not affordability. The IMF assessed valuation and financial stability, not affordability. Housing-cost overburden worsened between 2015 and 2022 on Eurostat’s comparable series (1.1% → 2.9%); after a break in the series in 2023 it was 6.0%, flat since.
- 5

Verdict: largely supported (moderate confidence). On strength and stability the IMF and Eurostat back the statement; the omitted risks are caveats rather than a contradiction. The MDA’s own release has since been found; its wording matches the quote.



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1 The claim and what we could verify

The MDA published the statement on its website on 8 February 2026 [5]; the page was modified on 17 June 2026, and we read that version. Its opening sentence matches the words MaltaToday quoted the same day [1], which abbreviate the association’s name to “the MDA”. The release quotes the IMF’s positive findings on valuation, banks and growth, and does not mention the IMF calling banks’ exposures to real estate “a vulnerability”. The IMF report it refers to is the 2025 Article IV consultation, published as Country Report 26/29 [2], which we read in full.

What was said	Who	Access
“The IMF’s assessment of the Maltese housing market confirms what the Malta Developers Association has been saying for several years.”	MDA release [5]; quoted by MaltaToday [1]	Read in full
The assessment confirms the “strength and stability” of the property sector	MaltaToday summary [1]	Read in full
MDA-commissioned study: prices +59% since 2017; price-to-income 14.0 → 14.5 (2024–25)	MaltaToday [1] ♦	Study not seen

SCOPE NOTE
This check asks whether the IMF report supports the statement. It does not assess whether more building is desirable (see Claim Check 013 on permits and prices) or the environmental cost of development.

2 Method

Question. Does the IMF’s 2025 assessment confirm that Malta’s property sector is strong and stable, and does independent data agree?

Evidence. The MDA’s release [5]; the IMF report, with page references [2]; Eurostat’s standardised house price-to-income ratio [3]; Eurostat real house prices and housing-cost overburden [4]. Numbers are recomputed by `tools/cc-018-report/calc.py`.

Grades. Official assessments and statistics are grade C. ♦ marks a source known second-hand.

3 What the IMF report says

IMF wording (PDF page)	Supports the statement?
House prices “remained aligned with fundamentals and price-to-income and price-to-rent ratios have been stable” (p.19)	Yes
“The likelihood of weakening of property and housing markets is currently low, it is a prospective risk” (p.12)	Yes, with a caveat
Prices +6.7% in 2024; growth moderated in early 2025 “while the house price-to-income ratio remained stable” (p.11)	Yes
“Significant exposures of banks to real estate are a vulnerability”: 72% of private loans, from 61% (p.19)	Omitted risk
“In view of rapid house price growth, staff recommend enhanced monitoring” (p.20)	Omitted risk
Directors “urged vigilance on vulnerabilities from rising exposures to real estate” (p.3)	Omitted risk
Population density fifteen times the EU’s, “straining infrastructure, housing and public services” (p.8)	Context

4 What the data show

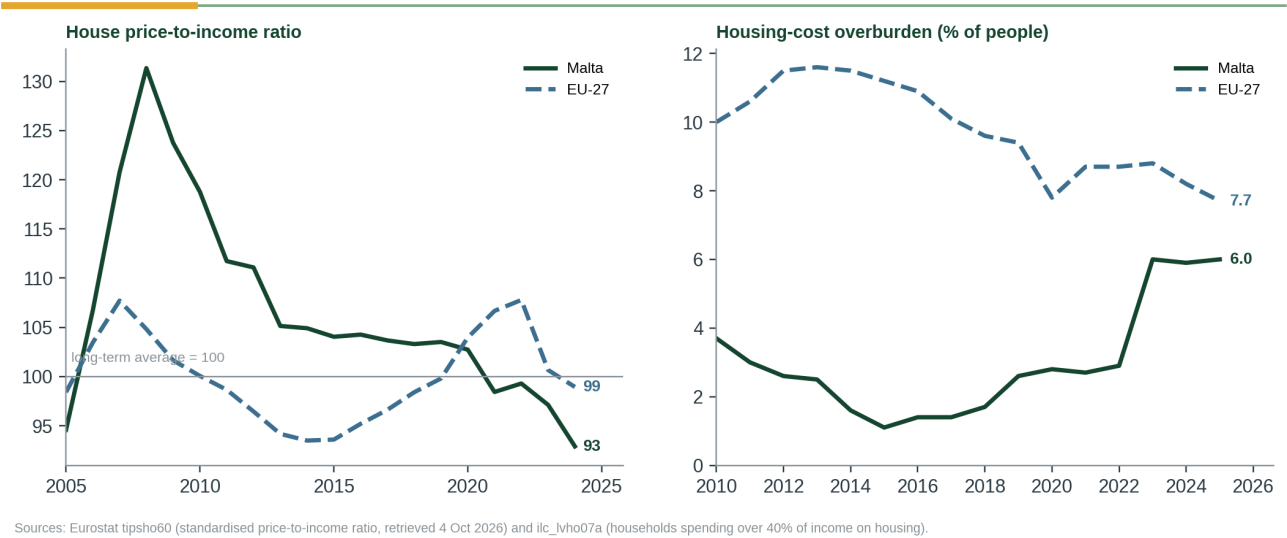


Figure 1. Left: Malta's house price-to-income ratio fell below its long-term average after 2020, while the EU's rose and then fell back. Right: Malta's housing-cost overburden rate rose from 1.1% to 2.9% in 2015–2022; Eurostat flags a break in Malta's series in 2023, so the step to 6.0% is not a like-for-like change.

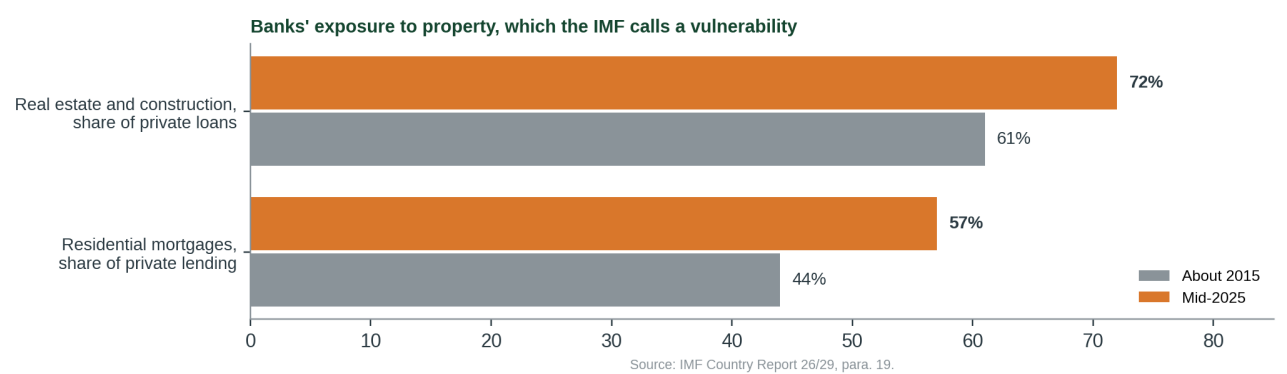


Figure 2. Banks' lending tied to property, about 2015 and mid-2025 [2].

Indicator	Malta	EU-27	Source	Grade
Price-to-income ratio, change 2015–2024	–10.7%	+5.7%	Eurostat tipsho60 [3]	C
Price-to-income vs long-term average, 2024	92.9	98.9	Eurostat tipsho60 [3]	C
Real house prices 2015–2025	+34%	+25%	Eurostat tipsho10 [4]	C
Housing-cost overburden, 2015 → 2022; 2023 → 2025 (break in Malta's series in 2023)	1.1% → 2.9%; 6.0% → 6.0%	11.2% → 8.7%; 8.8% → 7.7%	Eurostat ilc_lvh07a [4]	C
Real estate share of bank private loans	61% → 72%	–	IMF [2]	C

All values in data/cc-018/checks.csv.

5

Where the evidence points different ways

Q1 Is the market strong and stable?		YES, ON VALUATION
EVIDENCE FOR THE CLAIM'S IMPRESSION The IMF finds prices in line with fundamentals and ratios stable; Eurostat's price-to-income ratio fell 10.7% since 2015 and is below its long-term average.	EVIDENCE AGAINST The IMF calls weakening a "prospective risk" and wants closer monitoring because prices are rising fast.	
WHY THEY DIFFER, AND WHAT IT MEANS HERE For this claim: the core of the statement matches the report.		

Q2 Does the report confirm everything the MDA has said?		NOT SHOWN
EVIDENCE FOR THE CLAIM'S IMPRESSION The MDA has long argued that prices reflect demand and incomes; the IMF and Eurostat agree on that.	EVIDENCE AGAINST The MDA's own commissioned study, as reported, said prices outpaced incomes and the price-to-income ratio was rising, the opposite of the IMF and Eurostat finding. The IMF also warns about banks' exposure to property.	
WHY THEY DIFFER, AND WHAT IT MEANS HERE For this claim: "what the MDA has been saying" is broad; the IMF confirms part of it.		

Q3 Is the market working for residents?		OUTSIDE THE IMF'S SCOPE
EVIDENCE FOR THE CLAIM'S IMPRESSION Overcrowding and overburden remain below the EU average (Claim Check 013).	EVIDENCE AGAINST Overburden rose from 1.1% to 2.9% in 2015–2022 (about 6% since a 2023 series break), and the IMF notes housing is strained by population density.	
WHY THEY DIFFER, AND WHAT IT MEANS HERE For this claim: stability for banks and investors is not the same as affordability.		

6

Testing the claim

Sub-claim	What the evidence shows	Rating
A. The IMF found the housing market sound (prices aligned with fundamentals, stable ratios)	Stated in the report [2]; confirmed by Eurostat [3].	SUPPORTED
B. The assessment confirms the sector's "strength and stability"	Yes on valuation; the IMF also lists bank exposure as a vulnerability.	LARGELY SUPPORTED
C. It confirms what the MDA has said for years	Partly; the MDA's own study pointed the other way on price-to-income.	PARTLY

7 Verdict and requests for evidence

VERDICT

LARGELY SUPPORTED

The IMF and Eurostat back the strength and stability claim; the statement leaves out the IMF's warnings on bank exposure. Confidence: moderate.

Why. (1) The IMF report says what the MDA says it says about valuation and stability. (2) Eurostat's independent ratio agrees. (3) The statement does not mention the IMF's concern about banks' growing exposure to property or its call for closer monitoring, and the IMF did not assess affordability. These omissions qualify the claim without reversing it.

Confidence is moderate. It was set in version 1.0, when the MDA's own release had not been found and the statement was known through a news report. The release has since been read and matches the quoted wording; the confidence level is unchanged in this correction, pending review.

Evidence we are asking for

- ☐ The text of the MDA's release as first published on 8 February 2026, and what was changed on 17 June 2026.
- ☐ The MDA-commissioned study (November 2025) and how its price-to-income ratio is defined.

8 Limitations

- The MDA's release was modified on 17 June 2026, after publication; we read the modified version and could not see the original.
- Eurostat's price-to-income ratio uses national-accounts income per head; it can differ from wage-based measures such as the MDA study's.
- National averages hide differences between first-time buyers, renters and owners.
- Eurostat flags a break in Malta's housing-cost overburden series in 2023; values before and after it are not comparable.

References

- [1] Zammit J. (8 Feb 2026). Malta Development Association welcomes IMF assessment of housing market. *MaltaToday*. https://www.maltatoday.com.mt/news/national/139634/malta_development_association_welcomes_imf_assessment_housing_market
- [2] International Monetary Fund (2026). Malta: 2025 Article IV Consultation. IMF Country Report No. 26/29. <https://www.imf.org/-/media/files/publications/cr/2026/english/1mltea2026001-source-pdf.pdf>
- [3] Eurostat. tipsho60, standardised house price-to-income ratio; retrieved 4 Oct 2026. <https://ec.europa.eu/eurostat/databrowser/view/tipsho60/default/table>
- [4] Eurostat. tipsho10 (real house prices), retrieved 3 Oct 2026; ilc_lvh07a (housing-cost overburden, with status flags), retrieved 5 Oct 2026. <https://ec.europa.eu/eurostat/databrowser/>
- [5] Malta Developers Association (8 Feb 2026; modified 17 Jun 2026). A strong housing market supported by excellent fundamentals. Read 5 Oct 2026. <https://mda.com.mt/a-strong-housing-market-supported-by-excellent-fundamentals/>
- [6] Miżien. Data and calculations: data/cc-018/; tools/cc-018-report/.

Appendix A: series standards and verdict scale

Every investigation in this series follows the same rules so that verdicts are comparable and challengeable.

Verdict	Meaning
SUPPORTED	Evidence consistently backs the claim as stated.
LARGELY SUPPORTED	Backed by the evidence, with minor caveats that do not change the substance.
NOT SUBSTANTIATED	Stated more strongly than the evidence offered or available allows. May be true in some conditions but has not been shown.
MISLEADING	Omits material facts so that the overall impression is inaccurate, even if individual statements are defensible.
CONTRADICTED	The available evidence points against the claim.

Confidence

High: multiple independent lines of evidence agree. **Moderate:** evidence is relevant but incomplete or indirect. **Low:** evidence is thin, second-hand or conflicting.

Evidence grades

A experiment · B observational study with a control or gradient · C review, guidance or official statistics · D assertion or anecdote. ♦ marks a source known only second-hand.

Standards

- **Quote the speaker, not the headline**, with outlet and date, and link the original where possible.
- **Separate the claim from the evidence offered for it**, and say who made which statement.
- **Grade the evidence** and show differing views side by side where the evidence is unsettled.
- **State what we could not access or verify**, and what would change the verdict either way.
- **Ask for the missing evidence** in specific, answerable requests.
- **Offer a right of reply** before wider circulation and append responses.
- **Correct errors openly** with a version number and change log.
- **Whistle-blow only on evidence:** a verdict of *Misleading* or *Contradicted* requires documents or data that can be shown, not inference.
- **Check every side.** Government, opposition, NGOs and developers are held to the same standard.

Appendix B: revision log

Version	Date	Change
1.0	4 Oct 2026	First issue. Right of reply to the MDA not yet sent.
1.1	5 Oct 2026	Corrections: (1) "The MDA's own release was not found" → found and read [5] (published 8 Feb 2026, modified 17 Jun 2026); the quote now uses its wording ("the Malta Developers Association" where MaltaToday wrote "the MDA") and is no longer second-hand; Section 1 notes that the release does not mention the IMF's "vulnerability" warning. (2) "Incomes have kept pace with prices" → "incomes grew faster than house prices" (price-to-income −10.7%); flyer "Prices kept pace with incomes" → "Incomes grew faster than prices". (3) Flyer "IMF: no sign of a bubble" → "IMF: ratios "stable""; sub-claim A "no overvaluation" → "prices aligned with fundamentals". (4) Housing-cost overburden: Eurostat flags a break in Malta's series in 2023, so "1.1% → 6.0% (2015–2025)" and "fivefold" → like-for-like runs 1.1% → 2.9% (2015–2022) and 6.0% / 5.9% / 6.0% (2023–2025), in the TL;DR, tile, Figure 1 caption, table, Q3, Limitations and flyer. (5) DOI of the IMF report added to the literature record. Verdict and confidence unchanged.